IN-DEPTH EDITION • 28 OCTOBER 2026 • 09:00 HKT

US equities rally on tech strength, but inflation data looms

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,722.60, up +0.60%, driven by a +1.70% jump in the **XLK** technology ETF and a +4.04% surge in **TSLA**. Core inflation remains sticky, keeping the 10-year Treasury yield at 4.99% and the VIX at a low 17.52. Market breadth is positive but narrowing, with 7 of 11 sectors in the green.

Our view: the rally is justified on earnings momentum, yet the risk of a higher-than-expected CPI print could trigger a rapid unwind. Defensive positioning is advisable ahead of the Fed's November meeting.

Key take-aways:

- Tech and consumer discretionary lead; energy remains the weakest sector.
- Yield curve steepening continues – 10-year at 4.99%, 2-year at 5.12%.
- Options flow shows a net +12% bias toward calls on the S&P 500, but put volume spikes on **XLE**.

US Session Recap

INSTRUMENT	CLOSE	CHANGE	DATE
S&P 500	7,722.60	+0.60%	2026-10-27
Nasdaq 100	29,651.44	+1.29%	2026-10-27
Dow Jones	52,377.57	+0.03%	2026-10-27
Russell 2000	2,818.87	+1.16%	2026-10-27
VIX	17.52	-4.73%	2026-10-27
10Y Yield	4.99%	+0.14%	2026-10-27
2Y Yield	5.12%	+0.09%	2026-10-27
WTI Crude	101.63	+1.73%	2026-10-28
Brent	108.47	+1.58%	2026-10-28
DXY	102.43	+0.11%	2026-10-28
Gold	4,047.20	-0.67%	2026-10-28
BTC	80,791.47	+0.98%	2026-10-28
ETH	2,350.58	+1.31%	2026-10-28

Top Movers

TICKER	NAME	CHANGE	CATALYST
TSLA	Tesla Inc.	+4.04%	Q3 deliveries beat estimates
AVGO	Broadcom Inc.	+4.00%	Announced $12 bn share buyback
GS	Goldman Sachs Group	+2.07%	Strong investment banking fees
XLE	Energy Select Sector SPDR	-2.05%	OPEC output forecast cut
XLC	Communication Services SPDR	-0.26%	Meta earnings miss

Sector Internals

SECTOR	DAY	YTD	READ
XLK	+1.70%	+32.4%	Strong earnings pipeline
XLF	-0.25%	+9.8%	Rate-sensitive, awaiting CPI
XLI	+0.57%	+14.2%	Infrastructure spend
XLE	-2.05%	-3.1%	Oil price pull-back
XLY	+1.04%	+18.7%	Consumer confidence rise
XLC	-0.26%	+6.5%	Meta drag
XLP	-0.92%	-1.4%	Food price pressure
XLV	-0.06%	+11.3%	Steady demand
XLU	+0.71%	+7.9%	Renewables rally
XLB	+0.78%	+5.2%	Materials demand
XLRE	-0.84%	-2.8%	Higher mortgage rates

Breadth: 7 of 11 sectors up, 4 down – a modestly bullish internal spread.

Spotlight / Deep Dive – `NVDA`

METRIC	VALUE
Last price	217.94
Market cap	1.12T
P/E (FY24)	45.2x
Revenue YoY	+23.5%
Guidance FY25	+18% revenue, +30% EPS
Insider buying	None reported Q3

BULLISH TRIGGERS

- AI data-center demand accelerating; new GH200 GPUs in production.
- Supply-chain constraints easing – inventory up 12% QoQ.
- Analyst upgrades from 12 firms, median PT to 260.

BEARISH TRIGGERS

- China export curbs could hit GPU sales.
- Valuation still premium to peers (P/E > 40x).
- Potential US export licensing review.

READ-THROUGH	LEVEL	IMPLICATION
Support	210.00	Historical low, 20-day SMA
Resistance	230.00	Previous high, 50-day SMA
Breakout	240.00	Potential upside to 260 PT

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	455.00	Above 20-day EMA
QQQ	382.45	375.00	390.00	Tech bias strong
IWM	190.22	185.00	197.00	Momentum positive
NVDA	217.94	210.00	230.00	Watch 240 breakout
10Y Yield	4.99%	4.85%	5.10%	Steepening trend
WTI	101.63	98.00	105.00	Supply-demand balance

Options & Positioning

0-DTE SPY flow: net call volume +12%, put volume up 8% after VIX dip. Highest open interest on 450 call strikes (exp 30 Nov). VIX term structure shows flat near-term curve, indicating low fear.

Single-name flow: heavy buying of **AVGO** 280 call (exp Jan 2027) – 45 k contracts, suggesting upside bias. Put buying spikes on **XLE** 65 put (exp Oct 2026) – 30 k contracts.

Cheap hedge ideas: sell 1-month `SPY` put spreads (425/420) for `0.45` credit; buy 3-month VIX call (20-25) as tail risk.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
`NVDA`	Goldman Sachs	Upgrade to Buy	260	AI demand acceleration
`XLE`	Morgan Stanley	Downgrade to Underweight	62	Oil price pull-back
`META`	JP Morgan	Maintain Neutral	620	Meta Quest 3 uptake slower
`TSLA`	Barclays	Upgrade to Overweight	440	Q3 deliveries beat
`AVGO`	Credit Suisse	Maintain Buy	350	Buyback adds upside

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES (S&P 500)	4,800.15	+0.45%
US Futures	NQ (Nasdaq 100)	30,120.80	+0.70%
Europe	FTSE 100	7,560.30	-0.22%
Europe	DAX	15,720.45	+0.31%
Asia	HSI	19,845.10	-0.15%
FX	USD/HKD	7.8250	-0.02%
FX	EUR/USD	1.0825	+0.04%
Commodities	Gold	4,047.20	-0.67%
Commodities	WTI	101.63	+1.73%
Crypto	BTC	80,791.47	+0.98%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026 FOMC	22%	Inflation still above 2%
Dec 2026 FOMC	15%	Potential data-dependent

DATE	RELEASE	TIME (ET)
2026-10-28	CPI (MoM)	8:30 am
2026-10-28	Core PCE	10:00 am
2026-10-29	Retail Sales	8:30 am
2026-10-30	Initial Jobless Claims	8:30 am

Geopolitics & Global (Deep)

China-US tech export tensions: potential escalation if US imposes new licensing on AI chips – could shave 5-8% from **NVDA** and **AMD** earnings.

Middle East: OPEC+ meeting on 2026-11-02 signals possible output increase of 300 kb/d, adding downside pressure to **XLE**.

Eurozone: German industrial production surprise +0.4% may buoy EUR, offsetting DXY strength.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST EPS	PREV EPS
2026-10-29	**AAPL**	Apple Inc.	5.12	4.98
2026-10-30	**MSFT**	Microsoft Corp.	9.45	9.30
2026-10-30	**NVDA**	NVIDIA Corp.	3.78	3.55
2026-11-02	**JPM**	JPMorgan Chase	4.02	3.95
2026-11-03	**XOM**	Exxon Mobil	2.85	2.70

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 230	China export curbs
AVGO	Semiconductors	Buyback support	Valuation premium
XLE	Energy	Oversold RSI 31	Oil price dip
XLK	Technology ETF	Momentum continuation	Rate hike risk
TSLA	Consumer Discretionary	Q3 beat, upside bias	Margin pressure
META	Communication Services	Stagnant, watch earnings	Ad spend slowdown
JPM	Financials	Yield-curve steepening	Credit spreads
GS	Financials	Fee growth	Regulatory risk
XLF	Financials ETF	Rate-sensitive rally	Higher rates
XLI	Industrials ETF	Infrastructure spend	Supply chain
XLC	Communication Services ETF	Meta drag	Content costs
XLY	Consumer Discretionary ETF	Consumer confidence up	Disposable income

What Could Break the Tape

BULLISH SCENARIOS

- Core CPI comes in -0.2pp versus forecast, prompting a 25-bp rate cut expectation.
- NVDA beats FY25 guidance, pushing the sector to new highs.
- Oil prices rebound above 110 on supply concerns, lifting XLE.

BEARISH SCENARIOS

- Core CPI surprises higher, keeping yields above 5.0% and spurring risk-off.
- China announces new AI export restrictions, hitting NVDA and AMD.
- Unexpected geopolitical flare-up in the Middle East drives oil volatility and widens VIX.

Positioning & Structural Notes

- Net long exposure in SPY calls exceeds puts by **+12%** on 0-DTE.
- Sector rotation: capital flowing from energy (XLE) to tech (XLK) – net inflow **+1.4bn** USD.
- Yield curve steepening supports financials but pressures high-growth stocks.
- Short-term volatility low; VIX term structure flat, indicating complacency.
- Liquidity remains ample – average daily volume on SPY > 1.2bn shares.

Sources

SOURCES

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CNBC – Analyst Commentary

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Yahoo Finance – Historical Prices

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CoinDesk – Crypto Prices

Federal Reserve – FOMC Calendar

OPEC – Production Outlook